IN THE NATIONAL COMPANY LAW TRIBUNAL,
NEW DELHI COURT III

Item No. 01
CA-(CAA)/38(ND)/2023

IN THE MATTER OF:
Rubicon Mercantile Private Limited with Paramic Goods Pvt Ltd

.....APPLICANT/PETITIONER

SECTION
U/s 230/232

Order Pronounced on 14.06.2023

CORAM:
SHRI BACHU VENKAT BALARAM DAS, HON'BLE MEMBER (JUDICIAL)

SHRI ATUL CHATURVEDI, HON'BLE MEMBER (TECHNICAL)

PRESENT:
For the Applicant :
For the Respondent :

ORDER

Order pronounced in open court vide separate sheets. CA-(CAA)/38(ND)/2023 is **allowed.**

Sd/-
(ATUL CHATURVEDI)
MEMBER (TECHNICAL)

Sd/-
(BACHU VENKAT BALARAM DAS)
MEMBER (JUDICIAL)

BEFORE THE NATIONAL COMPANY LAW TRIBUNAL
COURT NO. III, NEW DELHI

CA (CAA)- 38/(ND)/2023

IN THE MATTER OF SECTIONS 230-232 OF THE COMPANIES ACT, 2013

Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

In the matter of Scheme of Arrangement of

RUBICON MERCANTILE PRIVATE LIMITED

(Applicant Company-1 /Transferor Company-1)

AND

MEGHMALA MARKETING PRIVATE LIMITED

(Applicant Company-2/Transferor Company-2)

WITH

PARAMIC GOODS PVT LTD

(Applicant Company-3/Transferee Company-3)

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

CORAM:

SH. BACHU VENKAT BALRAM DAS, HON'BLE MEMBER (JUDICIAL)

SH. ATUL CHATURVEDI, HON'BLE MEMBER (TECHNICAL)

MEMO OF PARTIES

1. M/S RUBICON MERCANTILE PRIVATE LIMITED

Company registered under the Companies Act, 1956, having its Registered Office at**:**
304, 3rd Floor, Bhanot Corner,
Pamposh Enclave, Greater Kailash- I
New Delhi South Delhi-110048

...Transferor Company-1/Applicant Company-1

AND

2. M/S MEGHMALA MARKETING PRIVATE LIMITED

Company registered under the Companies Act, 1956, having its Registered Office at**:**
304, 3rd Floor, Bhanot Corner,
Pamposh Enclave, Greater Kailash- I
New Delhi South Delhi-110048

...Transferor Company-2/Applicant Company-2

WITH

3. M/S PARAMIC GOODS PVT LTD

Company registered under the Companies Act, 1956, having its Registered Office at**:**
304, 3rd Floor, Bhanot Corner,
Pamposh Enclave, Greater Kailash- I
New Delhi South Delhi-110048

...Transferee Company-3/Applicant Company-3

Order Delivered on: 14.06.2023

For the Applicant: Mr. Raghav Agarwal, Company Secretary,
Mr. Saral Sharma, Advocate.

O R D E R

Per- Atul Chaturvedi, Member (Technical)

1. This application (CA (CAA)-38(ND)/2023) have been jointly filed by the applicant companies herein, Rubicon Mercantile Private Limited ("Transferor Company-1") and Meghmala Marketing Private Limited ("Transferor Company-2") with Paramic Goods Pvt Ltd ("Transferee Company-3")under section 230-232 of Companies Act, 1956, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the Scheme of Arrangement by way of Amalgamation (hereinafter referred to as the "SCHEME") proposed between the applicants.

2. Affidavits in support of the above applications have been sworn by Mr. Shardool Gautam, Director of Transferor Company No. 1, Mr.Shardool Gautam, Director of Transferor Company No. 2 and Mr.Shardool Gautam, Director of the Transferee Company being the authorized signatory of the Applicant Companies, who have been authorized vide board resolutions dated 20.03.2023 for all the Applicant Companies and have been duly filed, along with the application.

3. The Applicant Company No. 1/Transferor Company –Rubicon Private Limited bearing Corporate Identification No. (CIN): U51101DL2010PTC322222 was

incorporated under the provisions of the Companies Act, 1956, as a private limited company vide Certificate of Incorporation dated 17th March 2010, having its registered office at 304, 3rd Floor, Bhanot Corner, Pamposh Enclave, Greater Kailash-I, New Delhi South Delhi- 110048. The Authorized Share Capital of the Applicant Company No. 1 is Rs. 2,20,000/- (Rupees Two Lakhs Twenty Thousand Only) divided into 22,000 (Twenty Thousand) equity shares of Rs. 10/- (Rupees Ten) each. The Issued, Subscribed and Paid-up Share Capital of the Company is Rs. 2,16,000/- (Rupees Two Lakhs Sixteen Thousand Only) divided into 21,600 (Twenty-One Thousand Six Hundred) equity shares of Rs. 10/- (Rupees Ten) each, fully paid-up.

4. The Applicant Company No. 2/Transferor Company – M/s Meghmala Marketing Private Limited bearing Corporate Identification No. (CIN): U51101DL2010PTC322221 was incorporated under the provisions of the Companies Act, 1956, as a private limited company vide Certificate of Incorporation dated 15th March 2010, having its registered office at 304, 3rd Floor, Bhanot Corner, Pamposh Enclave, Greater Kailash-I, New Delhi South Delhi- 110048. The Authorized Share Capital of the Applicant Company No. 2 is Rs. 2,50,000/- (Rupees Two Lakhs Fifty Thousand Only) divided into 25,000 (Twenty-Five Thousand) Equity Shared of Rs. 10 each. The Issued, Subscribed and Paid-up Share Capital of the Company is Rs. 2,48,000/- (Rupees Two Lakhs Forty-Eight Thousand Only) divided into 24,800 (Twenty-Four Thousand Eight Hundred) equity shares of Rs. 10/- (Rupees Ten) each, fully paid-up.

5. The Applicant Company No. 3/Transferee Company – M/s Paramic Goods Pvt Ltd bearing Corporate Identification No. (CIN): U51102DL1995PTC321112 was incorporated under the provisions of the Companies Act, 1956, as a private limited company vide Certificate of Incorporation dated 23rd January 1995, having its registered office at 304, 3rd Floor, Bhanot Corner, Pamposh

Enclave, Greater Kailash-I, New Delhi South Delhi- 110048. The Authorized Share Capital of the Applicant Company No. 3 is Rs. 7,00,00,000/- (Rupees Seven Crore Only) divided into 70,00,000 (Seventy Lakhs) Equity Share of Rs. 10 each. The Issued, Subscribed and Paid-up Share Capital of the Company is Rs. 5,43,52,000/- (Rupees Five Crore Forty-Three Lakhs Fifty-Two Thousand Only) divided into 54,35,200 (Fifty-Four Lakhs Thirty-Five Thousand Two Hundred) equity shares of Rs. 10/- (Rupees Ten) each, fully paid-up.

6. The Transferor Company as well as the Transferee Company have filed their respective Memorandum and Articles of Association inter alia delineating their object clauses, as well as their last Audited Annual Accounts for the Financial 31.03.2022.

7. The Transferor Company and Transferee Company, vide their respective meeting of the Board of Directors held on 20th March 2023 have unanimously approved the proposed Scheme of Amalgamation.

8. The applicant companies have submitted as under: -

Company	No. of Equity Shareholder		Written consent by way of Affidavit/Resolution		Percentage of consent received (in terms of value)
	Total No. of Equity Shares holder	Total Amount (in value in Rs.)	Total No. of Equity Shares holder	Total Amount (in value)	

	(in number)		(in number)		
Transferor/ Applicant Company-1	14	2,16,000	14	2,16,000	100%
Transferor/ Applicant Company-II	14	2,48,000	14	2,48,000	100%
Transferee Applicant/ Company-III	14	5,43,52,00	14	5,43,52	100%

9. It has been stated that the Transferor Companies and the Transferee Company had some 'Statutory and Other dues' which have either been paid in full or being provisional in nature, are not due for payment as on the date of this Application. Certificates from Chartered Accountants confirming same was enclosed.

10. It is pertinent to note that the consent affidavits obtained are more than the requisite statutory majority of 100% of total value required to approve the Scheme of Amalgamation in terms of the provisions of Section 230(9) of the Companies Act, 2013.

11. The Applicant Companies have further placed on record the certificate of statutory auditors regarding conformity of accounting treatment in the scheme is in consonance with Section 133 of the Companies Act, 2013.

12. That the management wishes to amalgamate the Transferor Companies with the Transferee Company for following benefits: -

i) This Scheme of Amalgamation has been envisaged to create a single robust entity which would result in strengthened leadership in the industry in terms of asset base, revenue and market share of the combined entity. The combined entity will have the ability to leverage on its large asset base and vast pool of intellectual capital. It will have better net worth borrowing capacity to expand its business at a faster rate.

ii) The consolidation of resources of the Transferor Companies and the Transferee Company by way of amalgamation will lead to a more efficient utilization of capital, superior deployment of brand promotion, sales and strategies and create a consolidated and diversified base for future growth of the amalgamated entity with a wider presence in the market. The amalgamation will result in administrative and operational rationalization and promote organizational efficiencies. Further, it would result in the elimination of the investment structure layer, enhancement of shareholder value and operational efficiencies, the benefit of scaling up, and greater focus and would enable the management to vigorously pursue revenue growth and expansion opportunities. It will also prevent cost duplication that can erode financial efficiencies of the holding structure and the resultant operations will be more cost-efficient with the achievement

of greater economies of scale, reduction in overheads, and improvement in various other operating parameters.

iii) The amalgamation will enable the companies to have better, more efficient, and economical management, achieve cost savings, pooling of resources, reduction of corporate tiers, and rationalization administrative expenses/services, the management want to merge Transferor Companies with Transferee Company.

iv) The consolidation of activities of the Transferor Companies with the Transferee Company by way of an amalgamation will lead to operational synergies, greater efficiency and economical operations for future growth of the Transferee Company.

v) The amalgamation would result in greater integration and greater financial strength and flexibility for the amalgamated entity, which would result in maximizing overall shareholder value, and will improve the competitive position of the combined entity.

vi) The amalgamation will provide for pooling of the managerial, technical and financial resources of the Transferor Companies and the Transferee Company which will help in increasing the competitiveness of the Transferee Company.

vii) The amalgamation would result in greater efficiency in cash management of the amalgamated entity, and unfettered access to cash flow generated

by the combined business, which can be deployed more efficiently to fund growth opportunities, to maximize shareholder value.

13. Taking into consideration the submissions and the documents filed therewith, the following directions are issued forthwith in respect of convening/holding or dispensing with the meetings of the Shareholders, Secured and Unsecured Creditors as well as issue of notices as follows:

I. <u>In relation to the Transferor Company-1: (M/S RUBICON MERCANTILE PRIVATE LIMITED)</u>

a) With respect to Equity shareholders: In view of consent affidavits from 14 equity shareholders, having 100% of voting share, convening the meeting of shareholders/members is dispensed with.

b) With respect to Secured Creditors: There are no Secured Creditors of the Transferor Company No.1. Therefore, there is no requirement for the meeting of Secured Creditors of Transferor Company No.1.

c) With respect to Unsecured Creditors: There are no Unsecured Creditors of the Transferor Company No.1. Therefore, there is no requirement for the meeting of Unsecured Creditors of Transferor Company No.1.

II. <u>In relation to the Transferor Company-2:(M/S MEGHMALA MARKETING PRIVATE LIMITED)</u>

a) With respect to Equity shareholders: In view of consent affidavits from 14 equity shareholders, having 100% voting share, convening the meeting of shareholders/members is dispensed with.

b) **With respect to Secured Creditors:** There are no Secured Creditors of the Transferor Company No.2. Therefore, there is no requirement for the meeting of Secured Creditors of Transferor Company No.2.

c) **With respect to Unsecured Creditors:** There are no Unsecured Creditors of the Transferor Company No.2. Therefore, there is no requirement for the meeting of Unsecured Creditors of Transferor Company No.2.

III. <u>In relation to the Transferee Company-3:(M/S PARAMIC GOODS PVT LTD)</u>

a) **With respect to Equity shareholders:** In view of consent affidavits from 14 equity shareholders, having 100% voting share, convening the meeting of shareholders/members is dispensed with.

b) **With respect to Secured Creditors:** There are no Secured Creditors of the Transferee Company No.3. Therefore, there is no requirement for the meeting of Secured Creditors of Transferee Company No.3.

c) **With respect to Unsecured Creditors:** There are no Unsecured Creditors of the Transferee Company No.3. Therefore, there is no requirement for the meeting of Unsecured Creditors of Transferee Company No.3.

14. Notice of this application shall be served on the following:

i. Regional Director, Ministry of Corporate Affairs, B-2 Wing, 2 Floor, Paryawaran Bhavan, CGO Complex, New Delhi-110003;

ii. Registrar of Companies at 4th floor, IFCI Tower, 61, Nehru Place, New Delhi-110019;

iii. Official liquidator, Lok Nayak Bhavan, 8th Floor, Khan Market, New Delhi-110001;

iv. Income Tax Department, Income Tax Office, Additional Commissioner of Income Tax, Special Range 4, Central Revenue Building, IP Estate, New Delhi-110002. The notices to Income Tax Authorities shall disclose

sufficient details like PAN, ward numbers and assessing officers so that timely and proper reply may be filed.

v. Any other sectoral regulators required to be served.

The application **CA(A)38(ND)2023** stands allowed on the aforesaid term and accordingly disposed of.

Sd/-

(ATUL CHATURVEDI)
MEMBER (TECHNICAL)

Sd/-

(BACHU VENKAT BALRAM DAS)
MEMBER (JUDICIAL)